

D215

Auditing

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

An audit senior on a manufacturer with plants in four states assesses both inherent risk and control risk for inventory as high. The client's CFO is a former Big Four partner. Audit risk is to be held at a low level. How should detection risk and substantive testing change?

- A. Leave testing unchanged, since detection risk is set by the client's controls.
- B. Reduce testing because the CFO's background lowers risk.
- C. Raise acceptable detection risk and reduce substantive testing.
- D. Lower acceptable detection risk and perform more, or more effective, substantive testing.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

Audit risk is set at 5%. Inherent risk is assessed at 50% and control risk at 40%. Using $AR = IR \times CR \times DR$, what is the maximum acceptable detection risk?

- A. 1%
- B. 20%
- C. 25%
- D. 10%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A CPA firm with 200 staff audits a regional bank. The bank asks the firm to design and implement its new general ledger system. The bank's headquarters is next door to the firm's office. Focusing on the system work, which threat to independence arises?

- A. No threat, because system design is a permitted service for any client.
- B. Self-review threat.
- C. Advocacy threat.
- D. Self-interest threat.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

At a medical-supply wholesaler whose sales grew 20% last year, an auditor selects customer balances from the accounts receivable ledger and sends confirmations to those customers. The client uses a cloud ERP. Which assertion does this procedure mainly test?

- A. Valuation.
- B. Rights and obligations.
- C. Completeness.
- D. Existence.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5. [TRANSFER — reversed stem / different variable]

An auditor worried about unrecorded accounts payable wants to test completeness. Which procedure fits best?

- A. Confirm the balances on the year-end payables list.
- B. Examine payments made after year-end and trace them back to see whether the liability was recorded.
- C. Select recorded payables and vouch them to vendor invoices.
- D. Recalculate foreign-currency conversions on recorded payables.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

Auditing cash at a family-owned chain of 12 restaurants, an auditor has four pieces of evidence. The owner has been a client for 15 years. Which is most reliable?

- A. A bank confirmation mailed directly from the bank to the auditor.
- B. The owner's written statement that cash is correct.
- C. A photocopy of the bank statement provided by the client.
- D. The client's year-end bank reconciliation.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

At a distributor that processes 40,000 purchase orders a year, an auditor selects 25 purchase orders and checks each for a manager's approval signature before payment. The approval policy was updated in March. What kind of procedure is this?

- A. A substantive analytical procedure.
- B. A substantive test of details.
- C. A test of controls.
- D. A review of control design only, because the policy changed in March.

Target word _____	The one fact that decides _____	Answer ___	[] sure [] unsure [] guess
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8.

In a substantive sample of sales invoices at a software reseller with offices in two countries, the auditor concludes the balance is fairly stated when it is actually materially misstated. The sample size was 60. Which risk occurred, and what does it affect?

- A. Nonsampling risk.
- B. Risk of incorrect rejection; audit efficiency.
- C. Risk of incorrect acceptance; audit effectiveness.
- D. Risk of incorrect acceptance; audit efficiency.

Target word _____	The one fact that decides _____	Answer ___	[] sure [] unsure [] guess
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9.

A retailer's fiscal year ends December 31, and the audit report is dated February 20. On February 5, a major customer that had been struggling financially all fall declared bankruptcy, making its December 31 receivable uncollectible. The retailer's stock rose 3% that week. How should this be handled?

- A. Adjust the December 31 allowance for doubtful accounts.
- B. Disclose it in the notes without adjusting.
- C. Take no action, because anything after December 31 belongs to next year.
- D. Take no action, since the stock price rose.

Target word _____	The one fact that decides _____	Answer ___	[] sure [] unsure [] guess
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10. [TRANSFER — reversed stem / different variable]

Which event, occurring between year-end and the report date, requires disclosure but not adjustment?

- A.** A fire that occurs after the audit report has been issued.
- B.** A customer's bankruptcy caused by a long decline that began before year-end.
- C.** Settlement of a lawsuit pending at year-end for more than the amount accrued.
- D.** A January warehouse fire that destroys inventory.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

The auditor of a hotel chain that opened three new properties this year finds that the client refuses to correct a misstatement in its lease accounting. The misstatement is material but confined to one account and does not affect the rest of the statements. The CEO recently received an industry award. Which opinion fits?

- A.** Unmodified opinion with an emphasis-of-matter paragraph.
- B.** Qualified opinion.
- C.** Disclaimer of opinion.
- D.** Adverse opinion.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

An auditor issues a disclaimer of opinion. Which situation most likely caused it?

- A.** The auditor could not obtain sufficient appropriate evidence, and the possible effects are material and pervasive.
- B.** The auditor could not obtain evidence for one account, with material but contained effects.
- C.** The statements contain a misstatement that is material and pervasive.
- D.** Substantial doubt about going concern exists and is properly disclosed.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer D Concept 1

An audit senior on a manufacturer ~~with plants in four states~~ assesses both inherent risk and control risk for inventory as high. ~~The client's CFO is a former Big Four partner.~~ Audit risk is to be held at a low level. How should detection risk and substantive testing change?

Target word: response to high RMM **Decides:** High inherent and control risk leave room only for low detection risk.

A	Confusion set	Control risk belongs to the client; detection risk is the one the auditor controls.
B	Camouflage	The CFO's résumé does not change the assessed risks.
C	Inverted operation	Moves detection risk the wrong way.
D	Correct	To hold audit risk constant, detection risk must fall when the other two rise.

2. Answer C Concept 1 • transfer

Audit risk is set at 5%. Inherent risk is assessed at 50% and control risk at 40%. Using $AR = IR \times CR \times DR$, what is the maximum acceptable detection risk?

Target word: solve for detection risk **Decides:** $DR = AR / (IR \times CR)$.

A	Inverted operation	Multiplies 0.05×0.20 instead of dividing.
B	Confusion set	$IR \times CR$ is the risk of material misstatement, not detection risk.
C	Correct	$0.05 / (0.50 \times 0.40) = 0.05 / 0.20 = 0.25$.
D	Dropped element	$0.05 / 0.50$ leaves out control risk.

3. Answer B Concept 2

A CPA firm ~~with 200 staff~~ audits a regional bank. The bank asks the firm to design and implement its new general ledger system. ~~The bank's headquarters is next door to the firm's office.~~ Focusing on the system work, which threat to independence arises?

Target word: name the threat **Decides:** The firm would audit numbers produced by a system it built.

A	Absolute language	Designing a client's financial system creates a serious threat and is prohibited for many clients.
B	Correct	The auditor would be evaluating its own work.
C	Confusion set	Advocacy is promoting the client's position, such as in a dispute.
D	Adjacent category	Fees raise self-interest concerns, but the core problem here is auditing one's own work.

4. Answer D Concept 3

At a medical-supply wholesaler ~~whose sales grew 20% last year~~, an auditor selects customer balances from the accounts receivable ledger and sends confirmations to those customers. ~~The client uses a cloud ERP.~~ Which assertion does this procedure mainly test?

Target word: assertion tested **Decides:** The sample starts from recorded balances.

A	Adjacent category	Confirmations say little about collectibility.
B	Confusion set	A related assertion, but confirmations of recorded balances primarily support existence.
C	Inverted operation	Completeness needs a test that starts outside the recorded list.
D	Correct	Confirming recorded balances tests whether they are real.

5. Answer B Concept 3 • transfer

An auditor worried about unrecorded accounts payable wants to test completeness. Which procedure fits best?

Target word: reverse: from assertion to procedure **Decides:** Completeness needs a population outside the recorded list.

A	Dropped element	Only reaches vendors already recorded.
B	Correct	Starts outside the records and looks for items that should be there.
C	Inverted operation	Vouching recorded items tests existence.
D	Adjacent category	Tests valuation, not completeness.

6. Answer A Concept 4

Auditing cash at ~~a family-owned chain of 12 restaurants~~, an auditor has four pieces of evidence. ~~The owner has been a client for 15 years.~~ Which is most reliable?

Target word: most reliable evidence **Decides:** Independent source, sent straight to the auditor.

A	Correct	Outside source and auditor-controlled delivery.
B	Camouflage	A long relationship does not make management's word stronger evidence.
C	Confusion set	Bank-originated but passed through client hands as a copy.
D	Adjacent category	Useful, but client-prepared evidence.

7. Answer C Concept 5

At a distributor ~~that processes 40,000 purchase orders a year~~, an auditor selects 25 purchase orders and checks each for a manager's approval signature before payment. ~~The approval policy was updated in March.~~ What kind of procedure is this?

Target word: type of procedure **Decides:** Checking whether a control step was performed.

A	Adjacent category	Analytics compare expectations to recorded amounts.
B	Confusion set	Substantive tests check dollar amounts, not signatures.
C	Correct	It gathers evidence that the approval control operated.
D	Camouflage	The policy date does not change what the procedure tests: operation.

8. Answer C Concept 6

In a substantive sample of sales invoices at a software reseller ~~with offices in two countries~~, the auditor concludes the balance is fairly stated when it is actually materially misstated. ~~The sample size was 60.~~ Which risk occurred, and what does it affect?

Target word: name the risk and its effect **Decides:** Accepted a balance that was misstated.

A	Adjacent category	Nonsampling risk is human error; this is a sample that did not represent the population.
B	Inverted operation	That is concluding misstated when fair.
C	Correct	A wrong clean conclusion makes the audit ineffective.
D	Confusion set	Right risk, wrong consequence.

9. Answer A Concept 7

A retailer's fiscal year ends December 31, and the audit report is dated February 20. On February 5, a major customer that had been struggling financially all fall declared bankruptcy, making its December 31 receivable uncollectible. ~~The retailer's stock rose 3% that week.~~ How should this be handled?

Target word: treatment of the event **Decides:** The customer's weakness existed at year-end.

A	Correct	A recognized event: it confirms a condition that existed at the balance sheet date.
B	Confusion set	Disclosure only is for conditions that arose after year-end.
C	Absolute language	Events that confirm year-end conditions must be recognized.
D	Camouflage	Market reaction does not decide the accounting.

10. Answer D Concept 7 • transfer

Which event, occurring between year-end and the report date, requires disclosure but not adjustment?

Target word: reverse: find the nonrecognized event **Decides:** The condition must arise after year-end.

A	Adjacent category	Falls outside the subsequent-events period being asked about.
B	Confusion set	Condition existed at year-end: adjust.
C	Inverted operation	The lawsuit existed at year-end: adjust.
D	Correct	The fire did not exist at year-end: disclose, don't adjust.

11. Answer B Concept 8

The auditor of a hotel chain ~~that opened three new properties this year~~ finds that the client refuses to correct a misstatement in its lease accounting. The misstatement is material but confined to one account and does not affect the rest of the statements. ~~The CEO recently received an industry award.~~ Which opinion fits?

Target word: opinion type **Decides:** Material misstatement that is not pervasive.

A	Dropped element	Ignores that a material misstatement remains uncorrected.
B	Correct	Material but contained misstatement: "except for."
C	Confusion set	Disclaimers are for inability to get evidence, not known misstatement.
D	Adjacent category	Adverse is for misstatements that are pervasive.

12. Answer A Concept 8 · transfer

An auditor issues a disclaimer of opinion. Which situation most likely caused it?

Target word: reverse: from opinion to cause **Decides:** Disclaimer = no sufficient evidence, pervasive effect.

A	Correct	A pervasive scope limitation leads to a disclaimer.
B	Dropped element	Missing pervasiveness: that leads to a qualified opinion.
C	Confusion set	That leads to an adverse opinion.
D	Adjacent category	Leads to an unmodified opinion with a going-concern section.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	4	
Wrong stem number	A figure copied from the prompt that is not the answer.	0	
Adjacent category	The right idea in the wrong bucket.	9	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	6	
Absolute language	Always, never, guarantee — where judgment applies.	2	
Confusion set	Every option is real; the test is exact role-matching.	11	
Camouflage	Answers a stem fact that was never the question.	4	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Audit risk model	Audit risk = inherent risk × control risk × detection risk; the higher the assessed risk of material misstatement, the lower the acceptable detection risk and the more substantive work.	Raising detection risk (doing less) when inherent and control risk are high.	High inherent or control risk and a question about testing.
2	Independence threats	Under the AICPA conceptual framework, identify threats (self-review, self-interest, familiarity, advocacy, undue influence, management participation) and apply safeguards or decline.	Naming the wrong threat, or assuming a nonattest service is always allowed.	The auditor would later audit its own work, benefit financially, or be too close.
3	Existence vs. completeness	Testing from recorded amounts to support (vouching) tests existence; testing from source documents or later activity to the records (tracing) tests completeness.	Using the recorded list to look for unrecorded items.	The starting point of the sample and the direction of the test.
4	Reliability of evidence	Evidence from independent outside sources sent directly to the auditor beats client-prepared evidence; originals beat copies; auditor's direct knowledge is strongest.	Trusting a long relationship or client-prepared documents over third-party evidence.	Several evidence types and "most reliable."
5	Tests of controls vs. substantive procedures	Tests of controls check whether a control operated (e.g., an approval signature); substantive procedures test dollar amounts for misstatement.	Calling any document inspection substantive.	Looking for evidence of a control step vs. checking an amount.
6	Sampling risk	Risk of incorrect acceptance (concluding fair when misstated) hurts effectiveness; risk of incorrect rejection (concluding misstated when fair) hurts efficiency.	Pairing incorrect acceptance with efficiency.	"Concludes fairly stated when in fact misstated."
7	Subsequent events	Recognized (Type I) events give evidence of conditions at the balance sheet date and require adjustment; nonrecognized (Type II) events arise after and require disclosure only.	Assuming anything after year-end is disclose-only.	Did the condition exist at year-end?

#	Concept	Rule	Trap	Tell
8	Modified opinions	Material misstatement: qualified if not pervasive, adverse if pervasive. Inability to get evidence: qualified if not pervasive, disclaimer if pervasive.	Mixing up adverse (misstatement) and disclaimer (no evidence).	Misstatement vs. scope limitation, and pervasive vs. contained.

Course scope (public description): Auditing covers the entire auditing process. This course will help students gain an understanding of the different assurance services, the AICPA Code of Professional Conduct, and the conceptual framework for members in public practice. The course will teach students how to assess for audit risk, develop an audit strategy, and gain an understanding of the audit client. Audit evidence and a client's system of internal control will be discussed in depth. The course requires students to assess risk response by identifying and evaluating tests of controls and substantive procedures. In addition, the course will have students evaluate risk response using data analytics and audit sampling for substantive tests. The course concludes with the completion of the audit through subsequent events, engagement wrap-up and management representation, and reporting on the audit with an unqualified audit report or a modification of the audit report. The prerequisites to this course are Intermediate Accounting I, II, and III, Accounting Information Systems, and Business Law for Accountants.